

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$105.87 ▼ 0.46%	12M Price Target \$125.00	52-Week Range \$63.52 – \$153.86	Market Cap \$95.34B
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HOOD: Crypto Legislation + Prediction Markets = Multi-Engine Growth

WHAT HAPPENED

- Stock is basically flat today (\$105.87, -0.46%) but that hides a wild week — dropped to \$99 mid-week, then ripped back to \$106 yesterday. The bounce lines up with the CLARITY Act coverage (crypto market structure bill) and Bernstein's bullish call on Robinhood's prediction markets business hitting \$1.7B by 2028. Translation: the market is starting to price in HOOD as more than a stock-trading app.
- Today's tiny dip is just crypto-linked names cooling off with oil spiking (higher oil = inflation fears = risk-off for speculative names). Nothing company-specific — volume is tiny (3M shares vs 20M+ normal), so don't read much into it.

WHY IT MATTERS

Here's the big picture: HOOD is quietly building four growth engines at once — crypto (Robinhood Chain, \$450M bet), prediction markets (election/sports betting-adjacent), tokenized stocks (competing with Kraken's new international push), and premium credit cards. Any ONE of these working is a needle-mover; two or three working is why the stock has tripled off its lows. The CLARITY Act is the key unlock — if it passes, it gives crypto exchanges and stablecoin issuers actual regulatory certainty, which means HOOD can aggressively expand crypto products without SEC lawsuit risk hanging over every launch. Bernstein slapping a \$1.7B number on prediction markets alone tells you Wall Street is starting to sum-of-the-parts this thing, which usually means higher price targets are coming.

POLICY & POLITICAL WATCH

The CLARITY Act (crypto market structure bill) is the single most important piece of legislation for HOOD right now — it would split jurisdiction between the SEC and CFTC clearly, legitimize stablecoins, and basically end the "is this a security?" gray zone that's haunted crypto for years. If it passes (looking increasingly likely under the current pro-crypto administration), HOOD's crypto revenue re-rates higher because the regulatory discount disappears. Also watch the CFTC on prediction markets — they've been surprisingly permissive, but any pushback on event contracts (sports, elections) directly threatens that \$1.7B Bernstein forecast.

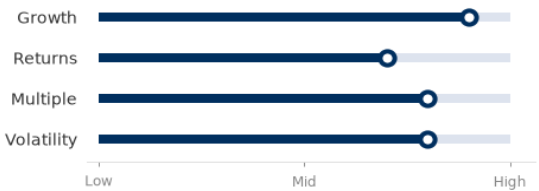
IS IT EXPENSIVE?

At ~\$95B market cap and ~57x forward earnings, HOOD isn't cheap — you're paying \$57 for every \$1 of next year's profit, roughly double the S&P 500's multiple. BUT: revenue is growing ~50% year-over-year, they're actually profitable now (huge change from 2022), and the market is paying for optionality across four business lines. Compared to COIN (pure crypto play) trading at similar multiples but with less diversification, HOOD looks reasonably priced — you're basically getting the prediction markets business and credit card for free if crypto works.

Key Data

Price (USD)	\$105.87
12M Price Target	\$125.00
Upside / (Downside)	+18.1%
Market Cap	\$95.34B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,400M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	57.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$118.00	\$108.00	\$95.00
6 Months	\$140.00	\$120.00	\$85.00
1 Year	\$165.00	\$125.00	\$75.00
2 Years	\$220.00	\$160.00	\$70.00
5 Years	\$350.00	\$240.00	\$60.00
10 Years	\$600.00	\$380.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+1.69%) on oil spike, Utilities (+1.81%) on defensive rotation, Materials — classic late-cycle inflation-hedge trade.

COOLING OFF: Crypto equities and speculative growth names taking a breather as oil-driven inflation fears creep back in. This is a macro headwind for HOOD short-term.

ROTATION WATCH: Money rotating from growth/crypto into energy and defensives today — this is a short-term risk-off move, not a trend change. If oil stabilizes, expect crypto and fintech to lead again.

RELATED PLAY: If HOOD's crypto thesis works, the pick-and-shovel play is COIN (Coinbase) which benefits from the same CLARITY Act tailwind, and stablecoin issuers like CRCL (Circle) if you want more direct exposure.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Direct beneficiary of CLARITY Act, larger crypto pure-play, tends to lead HOOD on crypto-policy news.
- MSTR (MicroStrategy): Levered Bitcoin proxy — moves 2x crypto sentiment in both directions.

HOOD CONTEXT: HOOD is trading at 47% of its 52-week range (\$63-\$154), so it's off the highs but well off the lows — meaning the easy money has been made, but the story isn't broken. It's been lagging COIN slightly on pure crypto news but outperforming on diversification narrative (prediction markets, credit card). That's actually bullish — it means HOOD is being valued as a fintech platform, not just a crypto proxy.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Multiple growth engines, friendly policy tailwind, profitable, but valuation demands execution.

POSITION SIZE: 3-5% — Real upside but this thing can swing 10% in a day, so don't bet the farm.

ENTRY POINTS: Add on pullbacks to \$95-100. The mid-week dip to \$99 was a gift; watch for similar macro-driven selloffs.

TIME HORIZON: 12-24 months — main catalyst is CLARITY Act passage and prediction markets scaling. Q3/Q4 earnings will be key checkpoints.

WHEN TO BAIL: CLARITY Act dies in committee, crypto revenue drops >30% in a quarter, or CFTC cracks down on prediction markets.

HEDGING: If you want protection, buy small put positions on the \$95 strikes 2-3 months out — cheap insurance that pays if crypto rolls over. Or just size the position smaller and sleep better.